

SENATE BILL 2719

By Southerland

AN ACT to amend Chapter 213 of the Private Acts of 1982; and
any other acts amendatory thereto, relative to the Unicoi
County mineral tax.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Chapter 213 of the Private Acts of 1982, and any other acts amendatory
thereto, is amended by deleting SECTION 2 and substituting:

SECTION 2. The rate of the tax shall be set by the county legislative body as
prescribed in Tennessee Code Annotated, Section 67-7-203, as amended from time to
time. Upon the ratification of this act by the Unicoi County Commission, the rate of the
tax must not exceed the following amounts per ton on sand, gravel, sandstone, chert, or
limestone severed from the ground in the county:

- (1) For a tax period that begins prior to July 1, 2025, fifteen cents (15¢)
per ton;
- (2) For a tax period that begins on or after July 1, 2025, and prior to July
1, 2030, twenty cents (20¢) per ton;
- (3) For a tax period that begins on or after July 1, 2030, and prior to July
1, 2035, twenty-five cents (25¢) per ton; and
- (4) For a tax period that begins on or after July 1, 2035, and for
subsequent tax periods, thirty cents (30¢) per ton.

Every interested owner shall become liable at the time the sand, gravel, sandstone,
chert, or limestone is severed from the earth and ready for sale, whether before
processing or after processing may be. The term "sand, gravel, sandstone, chert, or
limestone" shall mean sand, gravel, sandstone, chert, or limestone severed from the
earth in the process of producing a saleable product by whatever means of severance

used. It shall not include, however, any mineral taxed under the provisions of Tennessee Code Annotated, Sections 67-7-102 through 67-7-110, Section 60-1-301, or any lime or limestone used for agricultural purposes. The tax shall be levied upon the entire production in the county regardless of the place of sale or the fact that delivery may be made outside the county. The tax shall accrue at the time the sand, gravel, sandstone, chert, or limestone is severed from the earth and in its natural or unprocessed state. The tax levied shall be a lien upon all sand, gravel, sandstone, chert, or limestone severed in the county and upon all property from which it is severed, including, but not limited to, mineral rights of the producer, and such liens shall be entitled to preference over all judgments, encumbrances, or lien whatsoever created.

SECTION 2. This act shall have no effect unless it is approved by a two-thirds (2/3) vote of the legislative body of Unicoi County. Its approval or nonapproval shall be proclaimed by the presiding officer of the legislative body and certified to the secretary of state.

SECTION 3. For the purpose of approving or rejecting the provisions of this act, it shall be effective upon becoming a law, the public welfare requiring it. For all other purposes, it shall become effective as provided in Section 2.